Deloitte.

Check out the latest US economic forecast

Explore all Economics content on *Deloitte Insights*

US Economic Update: September 7, 2026

Current state of the real economy	
Current state of financial markets	
Current state of inflation	

Atlanta Fed GDP growth forecasts for Q3 2026 (%)	3-Sep-26	2-Sep-26	1-Sep-26	27-Aug-26	26-Aug-26	25-Aug-26
	4.7	4.7	4.8	4.4	4.6	4.1

The US economy added 162,000 jobs in August

- Total nonfarm payrolls rose by 162,000 in August, the sharpest increase in five months. Payrolls had gone up by just 21,000 in July. In the private sector, payrolls rose the most in August in leisure and hospitality (62,000), marking a strong employment rebound for a sector that has been relatively subdued this year. Health care and social assistance added 28,400 jobs, while construction added another 22,000. Payrolls, however, declined in information and financial services. In government, a sharp rise in jobs in local government (50,000) offset declines in federal and state government payrolls.

  A separate survey (of households) by the Bureau of Labor Statistics shows that the unemployment rate remained relatively low at 4.1% in August. This is despite a slight uptick in the labor force participation rate to 61.6% in August. Overall, both the payroll and employment data suggest that the labor market remains resilient amid steady economic growth. It also makes it easier for the Federal Reserve to tighten monetary policy this year should inflation continue to edge up.
- Average hourly earnings in the private sector grew 0.3% in August, slightly up from a 0.2% increase in July. Compared to a year ago, average hourly earnings rose 3.1% in August, the slowest annual increase since May 2021. Slowing wage growth amid rising inflation could erode households' purchasing power and weigh on consumer spending in the months ahead.
- The job opening rate in the private sector was 4.5% in July, unchanged from the previous month. The rate was the highest in health care and social assistance (5.7%), followed by professional and business services (4.8%). The hiring rate in the private sector fell to 3.5% in July, while the layoff rate edged down to 1.2% during the month.
- The US trade deficit (in goods and services) widened to US$88.6 billion in July, the highest since March 2025. Imports rose 2.8% in July, aided by higher purchases of capital goods, particularly computers, computer accessories, and semiconductors. This is consistent with rising AI-related business investment in the economy. Exports fell 2.1% during the month, partly reflecting weaker US shipments of industrial supplies and materials to the rest of the world.

Figure 1. Total nonfarm payrolls rose by 162,000 in August and the unemployment rate was relatively low at 4.1%

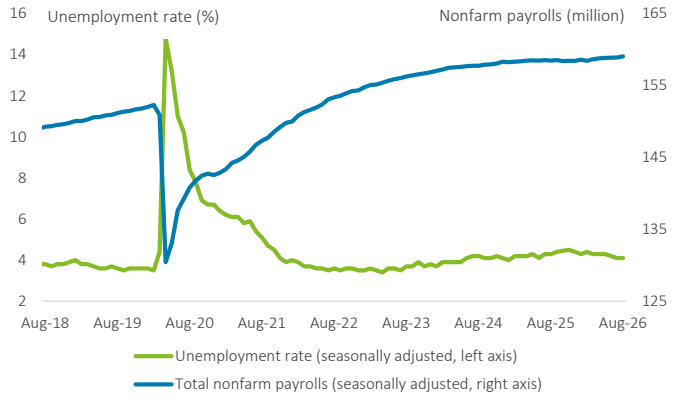
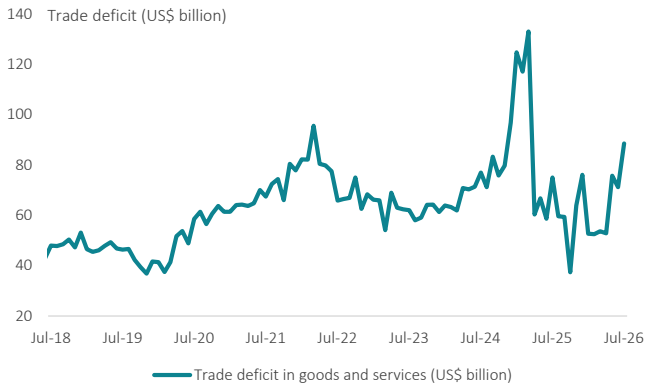


Figure 2. The trade deficit widened to US$88.6 billion in July, driven by a 2.8% increase in imports and a 2.1% fall in exports



Sources: Haver Analytics; Deloitte analysis.

For additional information, please reach out to the US Economics team:
Akrur Barua (abarua@deloitte.com), **Ira Kalish** (ikalish@deloitte.com), **Michael Wolf** (miwolf@deloitte.com)

Dashboard of key indicators

Real economy

Total nonfarm payrolls

Aug change	3-month avg ch	12-month avg ch	Trend
162,000	71,000	50,000	

Unemployment rate

Aug value (%)	1-month ch (ppts)	3-month ch (ppts)	Trend
4.1	0.0	-0.2	

Real disposable personal income

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.4	0.9	0.5	

Real personal consumer expenditure

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.0	0.8	2.1	

Nominal retail sales

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
-0.6	0.6	5.0	

Conference Board consumer confidence index

Aug value	1-month ch	3-month ch	Trend
89.4	-0.8	-1.2	

Housing permits

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
4.3	0.7	2.4	

Manufacturing industrial production

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.4	1.2	

Shipments of core capital goods

Jul growth (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
1.2	3.8	10.4	

Trade balance

Jul value (US$ billion)	1-month ch	3-month ch	Trend
-88.6	-17.4	-35.7	

Real GDP

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
1.5	2.1	2.1	

Corporate profits

Q2 2026 (%, QoQ, SAAR)	Q1 2026	1-year ch (%)	Trend
41.5	7.0	22.8	

Financial markets

Equity markets

S&P 500 on Sep 4	1-week ch (%)	1-year ch (%)	Trend
7718.6	0.1	19.1	

Treasury yield spread (10 yr - 2 yr)

Spread on Sep 4	1-month ch(ppts)	3-month ch(ppts)	Trend
0.41	-0.02	0.0	

CBOE volatility index (VIX)

VIX on Sep 4	1-week ch	4-week ch	Trend
14.5	0.1	-0.6	

Kansas City Fed financial stress index (KCFSI)

Jul index	1-month ch	3-month ch	Trend
-0.9	-0.1	-0.1	

Inflation

Consumer price index (CPI)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.1	0.1	3.4	

Core CPI (CPI excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.4	2.5	

Core PCE (PCE price index excluding food and energy)

Jul change (%, MoM, SA)	3-month ch (%)	12-month ch (%)	Trend
0.2	0.8	3.3	

Philadelphia Fed 10-year ahead inflation expectations

Q3 2026 (%, YoY)	Q2 2026	Q3 2025	Trend
2.3	2.4	2.3	

Sources: Haver Analytics; Deloitte analysis.